

Vendor repairs of defects

Disclosure requirements and process

In this case, the vendor and purchaser agreed to a \$25,000 reduction in the purchase price, and the agency agreed to refund \$15,000 commission. However, the licensee was found guilty of unsatisfactory conduct, and ordered to pay \$2,900 as part relief to the complainant purchaser.

How should disclosure take place?

Let's say a client has told you there was a leaky water pipe about two years ago. He paid a plumber to carry out repairs, and there doesn't appear to have been any problem since. Your disclosure to prospective customers should be along the following lines:

The client has mentioned to me that there was a leaky pipe about two years ago. He engaged a plumber, who undertook repairs, and to the best of the client's knowledge, the pipe hasn't leaked since.

Your obligations under rule 10.7 of the Code of Conduct require that you obtain evidence of the repairs from the vendor. Such evidence could take the form of an invoice from the plumber, which would identify the nature of work undertaken.

In this case the pipework was apparently not replaced with new piping, so you cannot make any statement about it being "new" or even in "as new" condition. Always recommend that if the customer requires further information they should engage a suitably qualified specialist to carry out an inspection and make a report. Follow up such recommendations in writing, and keep a diary note of the verbal recommendation, as well as a copy of the actual written one. If a customer chooses to ignore such advice, or relies on their own judgement or someone who is not sufficiently well qualified to advise on the matter, that becomes a matter of *caveat emptor* (let the buyer beware).

The Property Law Section of the New Zealand Law Society and the Real Estate Institute of New Zealand have jointly published *Best Practice Guide: Property Information Packs* (2012). You can access a PDF of this at:



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